

The image features a low-angle, upward-looking perspective of a modern skyscraper with a glass and steel facade. The building's grid-like structure of windows and frames creates a strong geometric pattern that fills the background. The sky is a clear, pale blue. In the top left corner, the word "Moody's" is written in a dark blue, serif font. A solid dark blue horizontal band spans the middle of the image, serving as a backdrop for the main title. The date "July 21, 2017" is positioned in the bottom right corner in a small, grey, sans-serif font.

Moody's

# Second Quarter 2017 Call

July 21, 2017

# Overview

## **Salli Schwartz**

Global Head of Investor Relations and Communications

# Disclaimer

Certain statements contained in this release are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. The forward-looking statements in this release are made as of the date hereof, and the Company disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying examples of factors, risks and uncertainties that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, world-wide credit market disruptions or an economic slowdown, which could affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including regulation, credit quality concerns, changes in interest rates and other volatility in the financial markets such as that due to the U.K.'s referendum vote whereby the U.K. citizens voted to withdraw from the EU; the level of merger and acquisition activity in the U.S. and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government actions affecting world-wide credit markets, international trade and economic policy; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent credit agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations, including provisions in the Financial Reform Act and regulations resulting from that Act; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation, government and regulatory proceedings, investigations and inquiries to which the Company may be subject from time to time; provisions in the Financial Reform Act legislation modifying the pleading standards, and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; exposure to potential criminal sanctions or civil remedies if the Company fails to comply with foreign and U.S. laws and regulations that are applicable in the jurisdictions in which the Company operates, including sanctions laws, anti-corruption laws, and local laws prohibiting corrupt payments to government officials; the impact of mergers, acquisitions or other business combinations and the ability of the Company to successfully integrate acquired businesses; currency and foreign exchange volatility; the level of future cash flows; the levels of capital investments; and a decline in the demand for credit risk management tools by financial institutions. Other factors, risks and uncertainties relating to our pending acquisition of Bureau van Dijk could cause our actual results to differ, perhaps materially, from those indicated by these forward-looking statements, including the ability of the parties to successfully complete the proposed acquisition on anticipated terms and timing, or at all; risks relating to the integration of Bureau van Dijk's operations, products and employees into Moody's and the possibility that anticipated synergies and other benefits of the proposed acquisition will not be realized in the amounts anticipated or will not be realized within the expected timeframe; risks that the proposed acquisition could have an adverse effect on the business of Bureau van Dijk or its prospects, including, without limitation, on relationships with venders, suppliers or customers; claims made, from time to time, by venders, suppliers or customers; changes in the European or global marketplaces that have an adverse effect on the business of Bureau van Dijk; and other factors, risks and uncertainties relating to the transaction as set forth under the caption "'Safe Harbor' Statement under the Private Securities Litigation Reform Act of 1995" in Moody's report on Form 8-K filed on May 15, 2017, which are incorporated by reference herein. These factors, risks and uncertainties as well as other risks and uncertainties that could cause Moody's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements are described in greater detail under "Risk Factors" in Part I, Item 1A of the Company's annual report on Form 10-K for the year ended December 31, 2016, and in other filings made by the Company from time to time with the SEC or in materials incorporated herein or therein. Stockholders and investors are cautioned that the occurrence of any of these factors, risks and uncertainties may cause the Company's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements, which could have a material and adverse effect on the Company's business, results of operations and financial condition. New factors may emerge from time to time, and it is not possible for the Company to predict new factors, nor can the Company assess the potential effect of any new factors on it.

# Agenda

## **1. Second Quarter Highlights and First Half 2017 Results**

Ray McDaniel, President and Chief Executive Officer

## **2. Second Quarter Financial and Operating Highlights**

Linda Huber, Executive Vice President and Chief Financial Officer

## **3. Current 2017 Outlook**

Ray McDaniel, President and Chief Executive Officer

## **4. Q&A**

Ray McDaniel, President and Chief Executive Officer

Linda Huber, Executive Vice President and Chief Financial Officer

Mark Almeida, President, Moody's Analytics

Rob Fauber, President, Moody's Investors Service

# 1

## **Second Quarter Highlights and First Half 2017 Results**

Ray McDaniel

President and Chief Executive Officer

# Second Quarter 2017 Results and Comparison to Second Quarter 2016

## Moody's Corporation

|                                          |   |                      |
|------------------------------------------|---|----------------------|
| » Revenue                                | ↑ | 8% to \$1 billion    |
| » Operating Expense                      | ↑ | 5% to \$543 million  |
| » Operating Income                       | ↑ | 12% to \$458 million |
| » Adjusted Operating Income <sup>1</sup> | ↑ | 13% to \$497 million |

<sup>1</sup> Adjusted operating income is defined as operating income before depreciation, amortization and expenses associated with the pending acquisition of Bureau van Dijk.

# Second Quarter 2017 Results and Comparison to Second Quarter 2016 (continued)

## Moody's Corporation

|                                     |   |               |
|-------------------------------------|---|---------------|
| » Operating Margin                  | ● | 45.7%         |
| » Adjusted Operating Margin         | ● | 49.7%         |
| » Diluted EPS                       | ↑ | 24% to \$1.61 |
| » Adjusted Diluted EPS <sup>1</sup> | ↑ | 16% to \$1.51 |

<sup>1</sup> Adjusted diluted EPS excludes a \$0.13 unrealized gain on a foreign currency collar to economically hedge the Bureau van Dijk euro-denominated purchase price and \$0.03 of acquisition related expenses.

# First Half 2017 Performance and Comparison to First Half 2016

## Moody's Corporation Revenue

- » Total Global  13% to almost \$2 billion
- » U.S.  12% to \$1.1 billion
- » Non-U.S.  15% to \$830 million
- » Total Global  Impact of foreign currency translation was negligible



# First Half 2017 Performance and Comparison to First Half 2016 (continued)

## MIS Revenue

- » Total MIS  18% to almost \$1.4 billion
- » U.S.  14% to \$835 million
- » Non-U.S.  25% to \$520 million

# First Half 2017 Performance and Comparison to First Half 2016 (continued)

## MA Revenue

|            |   |                     |
|------------|---|---------------------|
| » Total MA | ↑ | 4% to \$621 million |
| » U.S.     | ↑ | 7% to \$311 million |
| » Non-U.S. | ↑ | 2% to \$310 million |

# First Half 2017 Performance and Comparison to First Half 2016 (continued)

## Moody's Corporation

|                                          |   |                                                                                                  |
|------------------------------------------|---|--------------------------------------------------------------------------------------------------|
| » Operating Expense                      | ↑ | 4% to almost \$1.1 billion<br>— Foreign currency translation favorably impacted expense by 2%    |
| » Operating Income                       | ↑ | 26% to \$901 million<br>— Foreign currency translation favorably impacted operating income by 1% |
| » Adjusted Operating Income <sup>1</sup> | ↑ | 25% to \$973 million                                                                             |

<sup>1</sup> Adjusted operating income is defined as operating income before depreciation, amortization and expenses associated with the pending acquisition of Bureau van Dijk.

# First Half 2017 Performance and Comparison to First Half 2016 (continued)

## Moody's Corporation

- » Operating Margin ● 45.6%
- » Adjusted Operating Margin ● 49.2%
- » Effective Tax Rate ● 27.8%
- » Raising FY 2017 diluted EPS guidance to a range of \$5.69 to \$5.84
- » Anticipate FY 2017 adjusted diluted EPS<sup>1</sup> now to be in the range of \$5.35 to \$5.50

1 Adjusted diluted EPS excludes \$0.31 per share CCXI gain, \$0.13 per share purchase price hedge gain and \$0.10 per share of Bureau van Dijk acquisition-related expenses.

# 2

## **Second Quarter Financial and Operating Highlights**

Linda Huber

Executive Vice President and Chief Financial Officer

# Second Quarter 2017 Results and Comparison to Second Quarter 2016

## Moody's Corporation Revenue

- » Total Global  8% to \$1 billion
- » U.S.  4% to \$568 million
- » Non-U.S.  13% to \$433 million  
- 43% of total revenue
- » Total Global  Impact of foreign currency translation was negligible
- » Recurring Revenue  6% to \$489 million  
- 49% of total revenue

# Second Quarter 2017 Results and Comparison to Second Quarter 2016 (continued)

## MIS Revenue

- » Total MIS  10% to \$687 million
- » U.S.  3% to \$412 million
- » Non-U.S.  21% to \$274 million  
- 40% of total MIS revenue
- » Total MIS  Impact of foreign currency translation on MIS revenue was negligible

# Second Quarter 2017 Results and Comparison to Second Quarter 2016 (continued)

## MIS Revenue by Line of Business

- » Corporate Finance: \$356 million
  - Global ↑ 17%
  - U.S. ↑ 6%
  - Non-U.S. ↑ 40%
  
- » Structured Finance: \$119 million
  - Global ↑ 7%
  - U.S. ↑ 12%
  - Non-U.S. ↓ 3%



# Second Quarter 2017 Results and Comparison to Second Quarter 2016 (continued)

## MIS Revenue by Line of Business

- » Financial Institutions: \$102 million
  - Global ↑ 14%
  - U.S. ↑ 8%
  - Non-U.S. ↑ 20%
- » Public, Project & Infrastructure Finance: \$105 million
  - Global ↓ 7%
  - U.S. ↓ 12%
  - Non-U.S. ↑ 4%
- » MIS Other: \$5 million; down 37% due to the divestiture of a non-core subsidiary of ICRA in late 2016

# Second Quarter 2017 Results and Comparison to Second Quarter 2016 (continued)

## MA Revenue by Geography

|            |   |                                                                     |
|------------|---|---------------------------------------------------------------------|
| » Total MA | ↑ | 3.5% to \$314 million                                               |
| » U.S.     | ↑ | 6% to \$155 million                                                 |
| » Non-U.S. | ↑ | 1% to \$158 million<br>- 50% of total MA revenue                    |
| » Total MA | ● | Impact of foreign currency translation on MA revenue was negligible |

# Second Quarter 2017 Results and Comparison to Second Quarter 2016 (continued)

## MA Revenue by Line of Business

» Research, Data and Analytics: \$181 million

- |            |       |                           |
|------------|-------|---------------------------|
| - Global   | ↑ 7%  | - 58% of total MA revenue |
| - U.S.     | ↑ 6%  |                           |
| - Non-U.S. | ↑ 10% |                           |

# Second Quarter 2017 Results and Comparison to Second Quarter 2016 (continued)

## MA Revenue by Line of Business

### » Enterprise Risk Solutions: \$97 million

- Global  flat

- U.S.  7%

- Non-U.S.  5%

» ERS TTM<sup>1</sup> Revenue  6%

» ERS TTM<sup>1</sup> Sales  14%

» ERS TTM<sup>1</sup> Product Sales  21%

» ERS TTM<sup>1</sup> Services Sales  4%

<sup>1</sup> Trailing twelve months ended June 30, 2017.

# Second Quarter 2017 Results and Comparison to Second Quarter 2016 (continued)

## MA Revenue by Line of Business

### » Professional Services: \$36 million

|            |   |     |
|------------|---|-----|
| - Global   | ↓ | 5%  |
| - U.S.     | ↑ | 6%  |
| - Non-U.S. | ↓ | 10% |

# Second Quarter 2017 Results and Comparison to Second Quarter 2016 (continued)

## Moody's Corporation

### » Operating Expense

- ↑ 5% to \$543 million
  - Foreign currency translation favorably impacted expense by 2%
  - Includes \$51.1 million of incentive compensation

### » Operating Margin

- 45.7%

### » Adjusted Operating Margin

- 49.7%

### » Effective Tax Rate

- 32.1%

## Second Quarter 2017 Capital Allocation

- » During 2Q 2017, Moody's repurchased approximately 0.7 million shares at a total cost of \$79.5 million, or an average cost of \$115.35 per share
- » During 2Q 2017, Moody's issued approximately 0.4 million shares as part of its employee stock-based compensation plans
- » During 2Q 2017, Moody's returned \$73 million to its shareholders via dividend payments
- » On July 11, 2017, Moody's announced a quarterly dividend of \$0.38 per share of Moody's common stock payable September 12, 2017 to stockholders of record at the close of business on August 22, 2017

# First Half 2017 Capital Allocation

- » During 1H 2017, Moody's repurchased 1.2 million shares at a total cost of \$134.5 million, or an average cost of \$114.06 per share
- » During 1H 2017, Moody's issued approximately 1.9 million shares as part of its employee stock-based compensation plans
- » During 1H 2017, Moody's returned \$145 million to its shareholders via dividend payments
- » As of June 30, 2017, shares outstanding totaled 191 million
  - 1% decline from June 30, 2016
- » As of June 30, 2017, approximately \$600 million of share repurchase authority remaining



# Bureau van Dijk Acquisition Financing

- » On June 12, 2017, Moody's issued \$1 billion of notes:
  - \$500 million of 2.625% senior unsecured notes due 2023
  - \$500 million of 3.25% senior unsecured notes due 2028
- » Prior to bond issuance, Moody's had an undrawn bridge loan facility
- » In 2Q 2017, incremental financing expense associated with the notes and bridge loan amounted to \$0.03 per share

# Balance Sheet and Free Cash Flow

- » As of June 30, 2017, Moody's had:
  - \$4.9 billion of outstanding debt
  - \$1.5 billion of additional debt capacity available under its revolving credit facility and undrawn term loan
  - Total cash, cash equivalents and short-term investments of almost \$3.4 billion
    - Approximately 58% held outside the U.S.
- » Cash flow from operations for 1H 2017 was \$(48) million, down from \$546 million in 1H 2016<sup>1</sup>
- » Free cash flow for 1H 2017 was \$(91) million, down from \$492 million in 1H 2016<sup>1</sup>

<sup>1</sup> Declines in cash flow from operations and free cash flow were due to payments the Company made in the first quarter of 2017 pursuant to its 2016 settlement with the Department of Justice and various states attorneys general.

# 3

## **Current 2017 Outlook**

Ray McDaniel

President and Chief Executive Officer

# Current 2017 Outlook

Moody's outlook assumes foreign currency translation at end-of-quarter exchange rates. Specifically, our forecast reflects exchange rates for the British pound (£) of \$1.30 to £1 and for the euro (€) of \$1.14 to €1.

## Changes to 2017 Full-Year Financial Outlook<sup>1</sup>

| MCO                                 | Current Guidance as of July 21, 2017            |
|-------------------------------------|-------------------------------------------------|
| Diluted EPS <sup>2</sup>            | \$5.69 to \$5.84                                |
| Adjusted diluted EPS <sup>2,3</sup> | \$5.35 to \$5.50                                |
| Adjusted operating margin           | Approximately 47%                               |
| Revenue                             | increase in the high-single-digit percent range |

<sup>1</sup> Refer to Table 11 – “Moody's Corporation Reports Results for Second Quarter 2017” press release for a full view of guidance.

<sup>2</sup> Diluted EPS and adjusted diluted EPS ranges include an estimated \$0.16 per share tax benefit due to the adoption of new accounting standard for equity compensation, an estimated \$0.10 per share impact from financing expenses related to the pending acquisition of Bureau van Dijk and an estimated \$0.04 per share impact related to the reduction in share repurchase activity as a consequence of financing the acquisition.

<sup>3</sup> Adjusted diluted EPS excludes \$0.31 per share CCXI gain, \$0.13 per share purchase price hedge gain and \$0.10 per share of Bureau van Dijk acquisition-related expenses.

# Current 2017 Outlook (continued)

## Changes to 2017 Full-Year Financial Outlook<sup>1</sup>

### MIS

### Current Guidance as of July 21, 2017

|                        |                                                 |
|------------------------|-------------------------------------------------|
| Revenue                | increase in the high-single-digit percent range |
| Non-U.S.               | increase in the low-teens percent range         |
| Corporate Finance      | increase in the low-teens percent range         |
| Financial Institutions | increase in high-single-digit percent range     |

### MA

|                              |                                                 |
|------------------------------|-------------------------------------------------|
| Revenue                      | increase in the high-single-digit percent range |
| U.S.                         | increase in the mid-single-digit percent range  |
| Non-U.S.                     | increase in the low-double-digit percent range  |
| Research, Data and Analytics | increase in the low-double-digit percent range  |

<sup>1</sup> Refer to Table 11- "Moody's Corporation Reports Results for Second Quarter 2017" in the press release for a full review of guidance.

# 4

## Q&A

Ray McDaniel

President and Chief Executive Officer

Linda Huber

Executive Vice President and Chief Financial Officer

Mark Almeida

President, Moody's Analytics

Rob Fauber

President, Moody's Investors Service

# USD Market: Issuance Views From Investment Banks

*Views on this page are from various investment banks. Issuance views are for both financial and non-financial U.S. dollar issuance and may not align with Moody's revenue categorizations.*

|                                                                                                                                                                                                                                                                                                                                                                                                                        | YTD 2017       | FY 2017E       |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------|
| <b>Investment Grade Bonds</b>                                                                                                                                                                                                                                                                                                                                                                                          | ~\$720 billion | Down 5% to 10% |
| <ul style="list-style-type: none"><li>» Although rates have recently been moving higher, spreads remain stable and overall conditions are constructive</li><li>» 1H'17 issuance on pace with record 2016 levels, however expecting a slowdown into the summer and 2H'17 more broadly</li><li>» Current M&amp;A pipeline significantly lighter than in the previous two years</li></ul>                                 |                |                |
| <b>High Yield Bonds</b>                                                                                                                                                                                                                                                                                                                                                                                                | ~\$150 billion | Flat to Up 5%  |
| <ul style="list-style-type: none"><li>» High yield markets resilient despite concerns regarding distressed retailers and weakness in the energy sector</li><li>» Underlying demand supported by the stable U.S. economy, low volatility, and a steady decline in default rates</li><li>» Pipeline is "light" given a lack of M&amp;A and most refinancings expected for the year have already been completed</li></ul> |                |                |
| <b>Leveraged Loans</b>                                                                                                                                                                                                                                                                                                                                                                                                 | ~\$400 billion | Up ~30%        |
| <ul style="list-style-type: none"><li>» Tightening spreads have contributed to very strong loan refinancing and repricing activity</li><li>» ~\$55 billion of CLO formation year-to-date alongside healthy loan mutual fund inflows</li><li>» Investor demand remains elevated as rising rate concerns persist</li></ul>                                                                                               |                |                |

# Euro Market: Issuance Views From Investment Banks

*Views on this page are from various investment banks. Issuance views are for both financial and non-financial euro issuance and may not align with Moody's revenue categorizations.*

## Investment Grade

- » Expect 2H 2017 volumes to be in-line with 1H activity as issuance volumes pick up post-summer slowdown
- » Spreads and rates remain low offering issuers attractive funding costs
- » Expected ECB QE tapering could impact market tone later in the year

## Speculative Grade

- » Leveraged loan market remains robust but some softness has crept into the high yield bond market given the summer slowdown
- » Most refinancing expected in 2017 has already occurred
- » Fundamentals are improving as a result of stronger economic growth, but uncertainty remains from continuing Brexit negotiations and other geopolitical tensions



## Next Investor Day

Moody's Corporation will hold its next Investor Day in late February 2018 in New York City. The event, which will be webcast live, will feature presentations from management and showcase important aspects of the Company's business.

Additional details to follow.

# Replay Details

» Available from 3:30pm (Eastern Time) July 21, 2017 until 3:30pm (Eastern Time) August 19, 2017

» Telephone Details:

- US +1-888-203-1112
- Non-US +1-719-457-0820
- Passcode 6159765

» Webcast Details:

- Go to [ir.moody's.com](http://ir.moody's.com)
- Click on “Events & Presentations”
- Click on the link for “2Q 2017 Earnings Conference Call”



Moody's

# Appendix

# Consolidated Statements of Operations

## (Unaudited)

|                                                                       | Three Months Ended<br>June 30, |                 | Six Months Ended<br>June 30, |                   |
|-----------------------------------------------------------------------|--------------------------------|-----------------|------------------------------|-------------------|
|                                                                       | 2017                           | 2016            | 2017                         | 2016              |
| <i>Amounts in millions, except per share amounts</i>                  |                                |                 |                              |                   |
| <b>Revenue</b>                                                        | <b>\$ 1,000.5</b>              | <b>\$ 928.9</b> | <b>\$ 1,975.7</b>            | <b>\$ 1,745.0</b> |
| <b>Expenses:</b>                                                      |                                |                 |                              |                   |
| Operating                                                             | 285.8                          | 258.9           | 563.2                        | 508.1             |
| Selling, general and administrative                                   | 217.7                          | 228.6           | 439.6                        | 461.5             |
| Depreciation and amortization                                         | 32.9                           | 31.2            | 65.4                         | 61.1              |
| Acquisition-Related Expenses                                          | 6.6                            | -               | 6.6                          | -                 |
| <b>Total expenses</b>                                                 | <b>543.0</b>                   | <b>518.7</b>    | <b>1,074.8</b>               | <b>1,030.7</b>    |
| <b>Operating income</b>                                               | <b>457.5</b>                   | <b>410.2</b>    | <b>900.9</b>                 | <b>714.3</b>      |
| <b>Non-operating (expense) income, net</b>                            |                                |                 |                              |                   |
| Interest expense, net                                                 | (45.0)                         | (34.3)          | (87.4)                       | (68.4)            |
| Other non-operating income (expense), net                             | 8.3                            | 3.0             | (1.1)                        | 8.6               |
| CCXI Gain                                                             | -                              | -               | 59.7                         | -                 |
| Purchase Price Hedge Gain                                             | 41.2                           | -               | 41.2                         | -                 |
| Total non-operating income (expense), net                             | 4.5                            | (31.3)          | 12.4                         | (59.8)            |
| <b>Income before provision for income taxes</b>                       | <b>462.0</b>                   | <b>378.9</b>    | <b>913.3</b>                 | <b>654.5</b>      |
| Provision for income taxes                                            | 148.4                          | 120.8           | 253.8                        | 209.8             |
| <b>Net income</b>                                                     | <b>313.6</b>                   | <b>258.1</b>    | <b>659.5</b>                 | <b>444.7</b>      |
| Less: net income attributable to noncontrolling                       | 1.4                            | 2.6             | 1.7                          | 4.8               |
| <b>Net income attributable to Moody's Corporation</b>                 | <b>\$ 312.2</b>                | <b>\$ 255.5</b> | <b>\$ 657.8</b>              | <b>\$ 439.9</b>   |
| <b>Earnings per share attributable to Moody's common shareholders</b> |                                |                 |                              |                   |
| Basic                                                                 | \$ 1.63                        | \$ 1.32         | \$ 3.44                      | \$ 2.27           |
| Diluted                                                               | \$ 1.61                        | \$ 1.30         | \$ 3.39                      | \$ 2.24           |
| <b>Weighted average number of shares outstanding</b>                  |                                |                 |                              |                   |
| Basic                                                                 | 191.0                          | 193.4           | 191.1                        | 194.2             |
| Diluted                                                               | 193.8                          | 195.8           | 194.1                        | 196.8             |

# Supplemental Revenue Information

## (Unaudited)

| <i>Amounts in millions</i>                            | Three Months Ended<br>June 30, |                 | Six Months Ended<br>June 30, |                   |
|-------------------------------------------------------|--------------------------------|-----------------|------------------------------|-------------------|
|                                                       | 2017                           | 2016            | 2017                         | 2016              |
| <b>Moody's Investors Service</b>                      |                                |                 |                              |                   |
| Corporate Finance                                     | \$ 355.8                       | \$ 304.9        | \$ 708.6                     | \$ 545.2          |
| Structured Finance                                    | 119.2                          | 111.5           | 219.4                        | 202.1             |
| Financial Institutions                                | 102.4                          | 89.7            | 214.7                        | 184.6             |
| Public, Project and Infrastructure Finance            | 104.7                          | 112.3           | 202.8                        | 203.8             |
| MIS Other                                             | 4.6                            | 7.3             | 9.4                          | 15.1              |
| Intersegment royalty                                  | 27.0                           | 24.6            | 53.0                         | 48.6              |
| Sub-total MIS                                         | 713.7                          | 650.3           | 1,407.9                      | 1,199.4           |
| Eliminations                                          | (27.0)                         | (24.6)          | (53.0)                       | (48.6)            |
| Total MIS revenue                                     | 686.7                          | 625.7           | 1,354.9                      | 1,150.8           |
| <b>Moody's Analytics</b>                              |                                |                 |                              |                   |
| Research, Data and Analytics                          | 180.9                          | 168.3           | 356.3                        | 333.2             |
| Enterprise Risk Solutions                             | 97.3                           | 97.5            | 193.2                        | 187.0             |
| Professional Services                                 | 35.6                           | 37.4            | 71.3                         | 74.0              |
| Intersegment revenue                                  | 3.8                            | 2.8             | 7.5                          | 5.6               |
| Sub-total MA                                          | 317.6                          | 306.0           | 628.3                        | 599.8             |
| Eliminations                                          | (3.8)                          | (2.8)           | (7.5)                        | (5.6)             |
| Total MA revenue                                      | 313.8                          | 303.2           | 620.8                        | 594.2             |
| <b>Total Moody's Corporation revenue</b>              | <b>\$ 1,000.5</b>              | <b>\$ 928.9</b> | <b>\$ 1,975.7</b>            | <b>\$ 1,745.0</b> |
| <b>Moody's Corporation revenue by geographic area</b> |                                |                 |                              |                   |
| United States                                         | \$ 567.8                       | \$ 545.9        | \$ 1,145.6                   | \$ 1,025.9        |
| International                                         | 432.7                          | 383.0           | 830.1                        | 719.1             |
|                                                       | <b>\$ 1,000.5</b>              | <b>\$ 928.9</b> | <b>\$ 1,975.7</b>            | <b>\$ 1,745.0</b> |

# Selected Consolidated Balance Sheet Data

## (Unaudited)

|                                               | June 30,<br>2017 | December 31,<br>2016 |
|-----------------------------------------------|------------------|----------------------|
| <i>Amounts in millions</i>                    |                  |                      |
| Cash and cash equivalents                     | \$ 3,280.9       | \$ 2,051.5           |
| Short-term investments                        | 86.3             | 173.4                |
| Total current assets                          | 4,559.1          | 3,253.1              |
| Non-current assets                            | 1,977.2          | 2,074.2              |
| Total assets                                  | 6,536.3          | 5,327.3              |
| Total current liabilities <sup>(1,2)</sup>    | 1,237.2          | 2,428.2              |
| Total debt <sup>(3)</sup>                     | 4,887.1          | 3,363.0              |
| Other long-term liabilities                   | 879.5            | 863.4                |
| Total shareholders' (deficit)                 | (467.5)          | (1,027.3)            |
| Total liabilities and shareholders' (deficit) | 6,536.3          | 5,327.3              |
| Actual number of shares outstanding           | 191.0            | 190.7                |

<sup>(1)</sup> The 2016 amount includes an \$863.8 million accrued settlement charge related to the agreement with the U.S. Department of Justice and 21 U.S. states and the District of Columbia to resolve pending and potential civil claims related to credit ratings that MIS assigned to certain structured finance instruments in the financial crisis era. This settlement charge was paid by the Company in the first quarter of 2017.

<sup>(2)</sup> The 2016 amount includes \$300 million of debt classified as a current liability as it was set to mature in September 2017. The Company prepaid this debt in the first quarter of 2017.

<sup>(3)</sup> Includes debt classified in both current liabilities and long-term debt.

# Selected Consolidated Balance Sheet Data (continued)

## (Unaudited)

d)

|                                               |                   | June 30, 2017                    |                                |                                 |                   |  |
|-----------------------------------------------|-------------------|----------------------------------|--------------------------------|---------------------------------|-------------------|--|
|                                               | Principal Amount  | Fair Value of Interest Rate Swap | Unamortized (Discount) Premium | Unamortized Debt Issuance Costs | Carrying Value    |  |
| Amounts in millions                           |                   |                                  |                                |                                 |                   |  |
| Notes Payable:                                |                   |                                  |                                |                                 |                   |  |
| 5.50% 2010 Senior Notes, due 2020             | \$ 500.0          | \$ 5.6                           | \$ (1.2)                       | \$ (1.4)                        | \$ 503.0          |  |
| 4.50% 2012 Senior Notes, due 2022             | 500.0             | 0.1                              | (2.2)                          | (1.9)                           | 496.0             |  |
| 4.875% 2013 Senior Notes, due 2024            | 500.0             | -                                | (1.9)                          | (2.5)                           | 495.6             |  |
| 2.75% 2014 Senior Notes (5-Year), due 2019    | 450.0             | 0.6                              | (0.3)                          | (1.4)                           | 448.9             |  |
| 5.25% 2014 Senior Notes (30-Year), due 2044   | 600.0             | -                                | 3.3                            | (5.8)                           | 597.5             |  |
| 1.75% 2015 Senior Notes, due 2027             | 570.3             | -                                | -                              | (3.6)                           | 566.7             |  |
| 2.75% 2017 Senior Notes, due 2021             | 500.0             | -                                | (1.4)                          | (3.7)                           | 494.9             |  |
| 2017 Floating Rate Senior Notes, due 2018     | 300.0             | -                                | -                              | (1.0)                           | 299.0             |  |
| 2.625% 2017 Private Placement Notes, due 2023 | 500.0             | -                                | (1.2)                          | (3.8)                           | 495.0             |  |
| 3.25% 2017 Private Placement Notes, due 2028  | 500.0             | -                                | (5.4)                          | (4.1)                           | 490.5             |  |
| Total long-term debt                          | <u>\$ 4,920.3</u> | <u>\$ 6.3</u>                    | <u>\$ (10.3)</u>               | <u>\$ (29.2)</u>                | <u>\$ 4,887.1</u> |  |
| December 31, 2016                             |                   |                                  |                                |                                 |                   |  |
|                                               | Principal Amount  | Fair Value of Interest Rate Swap | Unamortized (Discount) Premium | Unamortized Debt Issuance Costs | Carrying Value    |  |
| Notes Payable:                                |                   |                                  |                                |                                 |                   |  |
| 6.06% Series 2007-1 Notes due 2017            | \$ 300.0          | \$ -                             | \$ -                           | \$ -                            | \$ 300.0          |  |
| 5.50% 2010 Senior Notes, due 2020             | 500.0             | 5.5                              | (1.3)                          | (1.6)                           | 502.6             |  |
| 4.50% 2012 Senior Notes, due 2022             | 500.0             | (0.2)                            | (2.4)                          | (2.1)                           | 495.3             |  |
| 4.875% 2013 Senior Notes, due 2024            | 500.0             | -                                | (2.1)                          | (2.7)                           | 495.2             |  |
| 2.75% 2014 Senior Notes (5-Year), due 2019    | 450.0             | 0.9                              | (0.4)                          | (1.7)                           | 448.8             |  |
| 5.25% 2014 Senior Notes (30-Year), due 2044   | 600.0             | -                                | 3.3                            | (5.9)                           | 597.4             |  |
| 1.75% 2015 Senior Notes, due 2027             | 527.4             | -                                | -                              | (3.7)                           | 523.7             |  |
| Total debt                                    | <u>\$ 3,377.4</u> | <u>\$ 6.2</u>                    | <u>\$ (2.9)</u>                | <u>\$ (17.7)</u>                | <u>\$ 3,363.0</u> |  |
| Current portion                               |                   |                                  |                                |                                 | <u>(300.0)</u>    |  |
| Total long-term debt                          |                   |                                  |                                |                                 | \$ 3,063.0        |  |

# Non-operating (expense) Income, Net

|                                                   | Three Months Ended<br>June 30, |                  | Six Months Ended<br>June 30, |                  |
|---------------------------------------------------|--------------------------------|------------------|------------------------------|------------------|
|                                                   | 2017                           | 2016             | 2017                         | 2016             |
| <i>Amounts in millions</i>                        |                                |                  |                              |                  |
| <b>Interest:</b>                                  |                                |                  |                              |                  |
| Expense on borrowings <sup>(1)</sup>              | \$ (46.4)                      | \$ (35.4)        | \$ (91.1)                    | \$ (70.0)        |
| Income                                            | 4.6                            | 2.8              | 8.7                          | 5.7              |
| UTPs and other tax related liabilities            | (3.4)                          | (1.7)            | (5.5)                        | (4.5)            |
| Interest Capitalized                              | 0.2                            | -                | 0.5                          | 0.4              |
| <b>Total interest expense, net</b>                | <b>\$ (45.0)</b>               | <b>\$ (34.3)</b> | <b>\$ (87.4)</b>             | <b>\$ (68.4)</b> |
| <b>Other non-operating (expense) income, net:</b> |                                |                  |                              |                  |
| FX gain (loss)                                    | \$ 3.8                         | \$ 0.8           | \$ (5.8)                     | \$ 4.8           |
| Joint venture income                              | 4.0                            | 3.0              | 5.0                          | 4.9              |
| Other                                             | 0.5                            | (0.8)            | (0.3)                        | (1.1)            |
| <b>Other non-operating (expense) income, net</b>  | <b>8.3</b>                     | <b>3.0</b>       | <b>(1.1)</b>                 | <b>8.6</b>       |
| CCXI Gain <sup>(2)</sup>                          | -                              | -                | 59.7                         | -                |
| Purchase Price Hedge Gain <sup>(3)</sup>          | 41.2                           | -                | 41.2                         | -                |
| <b>Total non-operating (expense) income, net</b>  | <b>\$ 4.5</b>                  | <b>\$ (31.3)</b> | <b>\$ 12.4</b>               | <b>\$ (59.8)</b> |

<sup>(1)</sup> The three and six month periods ending June 30, 2017 reflect interest and fees on \$1 billion in notes issued and an undrawn bridge loan facility to fund the acquisition of Bureau van Dijk. Additionally, the three and six month periods ending June 30, 2017 reflect interest on the \$800 million in notes issued to fund a settlement with the U.S. Department of Justice and various state attorneys general and the repayment of the Series 2007-1 Notes. The six month period ended June 30, 2017 includes a \$7 million early repayment penalty on the Series 2007-1 Notes.

<sup>(2)</sup> Reflects the non-cash, non-taxable gain from a strategic realignment and expansion involving Moody's China affiliate, China Cheng Xin International Credit Rating Co. Ltd.

<sup>(3)</sup> Reflects an unrealized gain on a foreign currency collar to economically hedge the Bureau van Dijk euro-denominated purchase price.



# Financial Information by Segment

The table below presents revenue, adjusted operating income and operating income by reportable segment. The Company defines adjusted operating income as operating income excluding depreciation and amortization and Acquisition-Related Expenses.

| Amounts in millions                                    | Three Months Ended June 30, |                |              |                 |                 |                |              |                 |
|--------------------------------------------------------|-----------------------------|----------------|--------------|-----------------|-----------------|----------------|--------------|-----------------|
|                                                        | 2017                        |                |              |                 | 2016            |                |              |                 |
|                                                        | MIS                         | MA             | Eliminations | Consolidated    | MIS             | MA             | Eliminations | Consolidated    |
| Revenue                                                | \$ 713.7                    | \$ 317.6       | \$ (30.8)    | \$ 1,000.5      | \$ 650.3        | \$ 306.0       | \$ (27.4)    | \$ 928.9        |
| Operating, selling, general and administrative expense | 291.4                       | 242.9          | (30.8)       | 503.5           | 281.3           | 233.6          | (27.4)       | 487.5           |
| Adjusted operating income                              | <u>422.3</u>                | <u>74.7</u>    | <u>-</u>     | <u>497.0</u>    | <u>369.0</u>    | <u>72.4</u>    | <u>-</u>     | <u>441.4</u>    |
| Acquisition-Related Expenses                           | -                           | 6.6            | -            | 6.6             | -               | -              | -            | -               |
| Depreciation and amortization                          | 18.9                        | 14.0           | -            | 32.9            | 18.2            | 13.0           | -            | 31.2            |
| Operating income                                       | <u>\$ 403.4</u>             | <u>\$ 54.1</u> | <u>\$ -</u>  | <u>\$ 457.5</u> | <u>\$ 350.8</u> | <u>\$ 59.4</u> | <u>\$ -</u>  | <u>\$ 410.2</u> |
| Adjusted operating margin                              | 59.2%                       | 23.5%          |              | 49.7%           | 56.7%           | 23.7%          |              | 47.5%           |
| Operating margin                                       | 56.5%                       | 17.0%          |              | 45.7%           | 53.9%           | 19.4%          |              | 44.2%           |

  

|                                                        | Six Months Ended June 30, |                 |              |                 |                 |                 |              |                 |
|--------------------------------------------------------|---------------------------|-----------------|--------------|-----------------|-----------------|-----------------|--------------|-----------------|
|                                                        | 2017                      |                 |              |                 | 2016            |                 |              |                 |
|                                                        | MIS                       | MA              | Eliminations | Consolidated    | MIS             | MA              | Eliminations | Consolidated    |
| Revenue                                                | \$ 1,407.9                | \$ 628.3        | \$ (60.5)    | \$ 1,975.7      | \$ 1,199.4      | \$ 599.8        | \$ (54.2)    | \$ 1,745.0      |
| Operating, selling, general and administrative expense | 579.7                     | 483.6           | (60.5)       | 1,002.8         | 559.9           | 463.9           | (54.2)       | 969.6           |
| Adjusted operating income                              | <u>828.2</u>              | <u>144.7</u>    | <u>-</u>     | <u>972.9</u>    | <u>639.5</u>    | <u>135.9</u>    | <u>-</u>     | <u>775.4</u>    |
| Acquisition-Related Expenses                           | -                         | 6.6             | -            | 6.6             | -               | -               | -            | -               |
| Depreciation and amortization                          | 37.8                      | 27.6            | -            | 65.4            | 35.7            | 25.4            | -            | 61.1            |
| Operating income                                       | <u>\$ 790.4</u>           | <u>\$ 110.5</u> | <u>\$ -</u>  | <u>\$ 900.9</u> | <u>\$ 603.8</u> | <u>\$ 110.5</u> | <u>\$ -</u>  | <u>\$ 714.3</u> |
| Adjusted operating margin                              | 58.8%                     | 23.0%           |              | 49.2%           | 53.3%           | 22.7%           |              | 44.4%           |
| Operating margin                                       | 56.1%                     | 17.6%           |              | 45.6%           | 50.3%           | 18.4%           |              | 40.9%           |

# Transaction and Relationship Revenue

The tables below summarize the split between transaction and relationship revenue. In the MIS segment, excluding MIS Other, transaction revenue represents the initial rating of a new debt issuance as well as other one-time fees while relationship revenue represents the recurring monitoring of a rated debt obligation and/or entities that issue such obligations, as well as revenue from programs such as commercial paper, medium-term notes and shelf registrations. In MIS Other, transaction revenue represents revenue from professional services and outsourcing engagements and relationship revenue represents subscription based revenues. In the MA segment, relationship revenue represents subscription-based revenues and software maintenance revenue. Transaction revenue in MA represents software license fees and revenue from risk management advisory projects, training and certification services, and analytical and research engagements.

| <i>Amounts in millions</i>         | Three Months Ended June 30, |                         |                            |                         |                         |                          |
|------------------------------------|-----------------------------|-------------------------|----------------------------|-------------------------|-------------------------|--------------------------|
|                                    | 2017                        |                         |                            | 2016                    |                         |                          |
|                                    | Transaction                 | Relationship            | Total                      | Transaction             | Relationship            | Total                    |
| Corporate Finance                  | \$ 262.5<br>74%             | \$ 93.3<br>26%          | \$ 355.8<br>100%           | \$ 215.6<br>71%         | \$ 89.3<br>29%          | \$ 304.9<br>100%         |
| Structured Finance                 | \$ 75.2<br>63%              | \$ 44.0<br>37%          | \$ 119.2<br>100%           | \$ 68.0<br>61%          | \$ 43.5<br>39%          | \$ 111.5<br>100%         |
| Financial Institutions             | \$ 43.9<br>43%              | \$ 58.5<br>57%          | \$ 102.4<br>100%           | \$ 29.8<br>33%          | \$ 59.9<br>67%          | \$ 89.7<br>100%          |
| Public, Project and Infrastructure | \$ 67.2<br>64%              | \$ 37.5<br>36%          | \$ 104.7<br>100%           | \$ 73.2<br>65%          | \$ 39.1<br>35%          | \$ 112.3<br>100%         |
| MIS Other                          | \$ 0.3<br>7%                | \$ 4.3<br>93%           | \$ 4.6<br>100%             | \$ 2.7<br>37%           | \$ 4.6<br>63%           | \$ 7.3<br>100%           |
| <b>Total MIS</b>                   | <b>\$ 449.1<br/>65%</b>     | <b>\$ 237.6<br/>35%</b> | <b>\$ 686.7<br/>100%</b>   | <b>\$ 389.3<br/>62%</b> | <b>\$ 236.4<br/>38%</b> | <b>\$ 625.7<br/>100%</b> |
| <b>Moody's Analytics</b>           | <b>\$ 62.8<br/>20%</b>      | <b>\$ 251.0<br/>80%</b> | <b>\$ 313.8<br/>100%</b>   | <b>\$ 72.8<br/>24%</b>  | <b>\$ 230.4<br/>76%</b> | <b>\$ 303.2<br/>100%</b> |
| <b>Total Moody's Corporation</b>   | <b>\$ 511.9<br/>51%</b>     | <b>\$ 488.6<br/>49%</b> | <b>\$ 1,000.5<br/>100%</b> | <b>\$ 462.1<br/>50%</b> | <b>\$ 466.8<br/>50%</b> | <b>\$ 928.9<br/>100%</b> |

# Transaction and Relationship Revenue (continued)

The tables below summarize the split between transaction and relationship revenue. In the MIS segment, excluding MIS Other, transaction revenue represents the initial rating of a new debt issuance as well as other one-time fees while relationship revenue represents the recurring monitoring of a rated debt obligation and/or entities that issue such obligations, as well as revenue from programs such as commercial paper, medium-term notes and shelf registrations. In MIS Other, transaction revenue represents revenue from professional services and outsourcing engagements and relationship revenue represents subscription based revenues. In the MA segment, relationship revenue represents subscription-based revenues and software maintenance revenue. Transaction revenue in MA represents software license fees and revenue from risk management advisory projects, training and certification services, and analytical and research engagements.

|                                    | Six Months Ended June 30, |                         |                            |                         |                         |                            |
|------------------------------------|---------------------------|-------------------------|----------------------------|-------------------------|-------------------------|----------------------------|
|                                    | 2017                      |                         |                            | 2016                    |                         |                            |
|                                    | Transaction               | Relationship            | Total                      | Transaction             | Relationship            | Total                      |
| Corporate Finance                  | \$ 523.1<br>74%           | \$ 185.5<br>26%         | \$ 708.6<br>100%           | \$ 366.6<br>67%         | \$ 178.6<br>33%         | \$ 545.2<br>100%           |
| Structured Finance                 | \$ 132.7<br>60%           | \$ 86.7<br>40%          | \$ 219.4<br>100%           | \$ 117.8<br>58%         | \$ 84.3<br>42%          | \$ 202.1<br>100%           |
| Financial Institutions             | \$ 97.3<br>45%            | \$ 117.4<br>55%         | \$ 214.7<br>100%           | \$ 66.8<br>36%          | \$ 117.8<br>64%         | \$ 184.6<br>100%           |
| Public, Project and Infrastructure | \$ 126.4<br>62%           | \$ 76.4<br>38%          | \$ 202.8<br>100%           | \$ 127.0<br>62%         | \$ 76.8<br>38%          | \$ 203.8<br>100%           |
| MIS Other                          | \$ 0.6<br>6%              | \$ 8.8<br>94%           | \$ 9.4<br>100%             | \$ 5.6<br>37%           | \$ 9.5<br>63%           | \$ 15.1<br>100%            |
| <b>Total MIS</b>                   | <b>\$ 880.1<br/>65%</b>   | <b>\$ 474.8<br/>35%</b> | <b>\$ 1,354.9<br/>100%</b> | <b>\$ 683.8<br/>59%</b> | <b>\$ 467.0<br/>41%</b> | <b>\$ 1,150.8<br/>100%</b> |
| <b>Moody's Analytics</b>           | <b>\$ 127.4<br/>21%</b>   | <b>\$ 493.4<br/>79%</b> | <b>\$ 620.8<br/>100%</b>   | <b>\$ 142.1<br/>24%</b> | <b>\$ 452.1<br/>76%</b> | <b>\$ 594.2<br/>100%</b>   |
| <b>Total Moody's Corporation</b>   | <b>\$ 1,007.5<br/>51%</b> | <b>\$ 968.2<br/>49%</b> | <b>\$ 1,975.7<br/>100%</b> | <b>\$ 825.9<br/>47%</b> | <b>\$ 919.1<br/>53%</b> | <b>\$ 1,745.0<br/>100%</b> |

# Adjusted Operating Income and Adjusted Operating Margin

The Company presents Adjusted Operating Income because management deems this metric to be a useful measure of assessing the operating performance of Moody's. Adjusted Operating Income excludes depreciation and amortization and Acquisition-Related Expenses. Acquisition-Related Expenses consist of expenses incurred to complete and integrate the pending acquisition of Bureau van Dijk. Depreciation and amortization are excluded because companies utilize productive assets of different ages and use different methods of acquiring and depreciating productive assets. Acquisition-Related Expenses are excluded due to the material nature of these expenses which are not expected to recur at this dollar magnitude subsequent to the completion of the multi-year integration effort. Acquisition related expenses from previous acquisitions were not material. Management believes that the exclusion of depreciation and amortization and Acquisition-Related Expenses, detailed in the reconciliation below, allows for an additional perspective on the Company's operating results from period to period and across companies. The Company defines Adjusted Operating Margin as Adjusted Operating Income divided by revenue.

|                                  | Three Months Ended |                 | Six Months Ended |                 |
|----------------------------------|--------------------|-----------------|------------------|-----------------|
|                                  | June 30,           |                 | June 30,         |                 |
| <i>Amounts in millions</i>       | 2017               | 2016            | 2017             | 2016            |
| <b>Operating income</b>          | \$ 457.5           | \$ 410.2        | \$ 900.9         | \$ 714.3        |
| Depreciation & amortization      | 32.9               | 31.2            | 65.4             | 61.1            |
| Acquisition-Related Expenses     | 6.6                | -               | 6.6              | -               |
| <b>Adjusted operating income</b> | <u>\$ 497.0</u>    | <u>\$ 441.4</u> | <u>\$ 972.9</u>  | <u>\$ 775.4</u> |
| <b>Operating margin</b>          | <u>45.7%</u>       | <u>44.2%</u>    | <u>45.6%</u>     | <u>40.9%</u>    |
| <b>Adjusted operating margin</b> | 49.7%              | 47.5%           | 49.2%            | 44.4%           |

# Free Cash Flow

The table below reflects a reconciliation of the Company's net cash flows from operating activities to free cash flow. The Company defines free cash flow as net cash provided by operating activities minus payments for capital additions. Management deems capital expenditures essential to the Company's product and service innovations and maintenance of Moody's operational capabilities. Accordingly, capital expenditures are deemed to be a recurring use of Moody's cash flow. Management believes that free cash flow is a useful metric in assessing the Company's cash flows to service debt, pay dividends and to fund acquisitions and share repurchases.

*Amounts in millions*

**Net cash flows (used in) provided by operating activities**

Capital additions

**Free cash flow**

**Net cash provided by (used in) investing activities**

**Net cash provided by (used in) financing activities**

| Six Months Ended |            |  |
|------------------|------------|--|
| June 30,         |            |  |
| 2017             | 2016       |  |
| \$ (47.7)        | \$ 546.4   |  |
| (42.8)           | (54.3)     |  |
| \$ (90.5)        | \$ 492.1   |  |
| \$ 39.9          | \$ (7.3)   |  |
| \$ 1,177.6       | \$ (640.4) |  |

# Adjusted Net Income and Diluted Earnings per Share Attributable to Moody's Common Shareholders

The Company presents this adjusted measure to exclude the CCXI Gain and the Purchase Price Hedge Gain as the frequency and magnitude of similar transactions may vary widely across periods. Additionally, the Company excludes Acquisition-Related Expenses due to the material nature of these expenses which are not expected to recur at this dollar magnitude subsequent to the completion of the multi-year integration effort. Acquisition-Related Expenses from previous acquisitions were not material. Acquisition-Related Expenses consist of expenses incurred to complete and integrate the pending acquisition of Bureau van Dijk. This measure allows for an additional perspective when comparing Moody's net income and diluted earnings per share from period to period. Below is a reconciliation of this measure to its most directly comparable U.S. GAAP amount:

*Amounts in millions*

|                                                                        | Three months ended June 30, |                 | Six months ended June 30, |                 |
|------------------------------------------------------------------------|-----------------------------|-----------------|---------------------------|-----------------|
|                                                                        | 2017                        | 2016            | 2017                      | 2016            |
| <b>Net income attributable to Moody's common shareholders</b>          | \$ 312.2                    | \$ 255.5        | \$ 657.8                  | \$ 439.9        |
| CCXI Gain                                                              | -                           | -               | (59.7)                    | -               |
| Acquisition-Related Expenses <sup>(1)</sup>                            | 6.6                         | -               | 6.6                       | -               |
| Pre-Tax Purchase Price Hedge Gain                                      | \$ (41.2)                   | \$ -            | \$ (41.2)                 | \$ -            |
| Tax on Purchase Price Hedge Gain                                       | 15.9                        | -               | 15.9                      | -               |
| Net Purchase Price Hedge Gain                                          | (25.3)                      | -               | (25.3)                    | -               |
| <b>Adjusted net income attributable to Moody's common shareholders</b> | <u>\$ 293.5</u>             | <u>\$ 255.5</u> | <u>\$ 579.4</u>           | <u>\$ 439.9</u> |

<sup>(1)</sup> These Acquisition-Related Expenses are not deductible for tax.

# Adjusted Net Income and Diluted Earnings per Share Attributable to Moody's Common Shareholders (continued)

The Company presents this adjusted measure to exclude the CCXI Gain and the Purchase Price Hedge Gain as the frequency and magnitude of similar transactions may vary widely across periods. Additionally, the Company excludes Acquisition-Related Expenses due to the material nature of these expenses which are not expected to recur at this dollar magnitude subsequent to the completion of the multi-year integration effort. Acquisition-Related Expenses from previous acquisitions were not material. Acquisition-Related Expenses consist of expenses incurred to complete and integrate the pending acquisition of Bureau van Dijk. This measure allows for an additional perspective when comparing Moody's net income and diluted earnings per share from period to period. Below is a reconciliation of this measure to its most directly comparable U.S. GAAP amount:

*Amounts in millions*

|                                                                         | Three months ended June 30, |                | Six months ended June 30, |                |
|-------------------------------------------------------------------------|-----------------------------|----------------|---------------------------|----------------|
|                                                                         | 2017                        | 2016           | 2017                      | 2016           |
| <b>Diluted EPS attributable to Moody's common shareholders</b>          | \$ 1.61                     | \$ 1.30        | \$ 3.39                   | \$ 2.24        |
| CCXI Gain                                                               | -                           | -              | (0.31)                    | -              |
| Acquisition-Related Expenses <sup>(1)</sup>                             | 0.03                        | -              | 0.04                      | -              |
| Pre-Tax Purchase Price Hedge Gain                                       | \$ (0.21)                   | \$ -           | \$ (0.21)                 | \$ -           |
| Tax on Purchase Price Hedge Gain                                        | 0.08                        | -              | 0.08                      | -              |
| Net Purchase Price Hedge Gain                                           | (0.13)                      | -              | (0.13)                    | -              |
| <b>Adjusted diluted EPS attributable to Moody's common shareholders</b> | <u>\$ 1.51</u>              | <u>\$ 1.30</u> | <u>\$ 2.99</u>            | <u>\$ 2.24</u> |

<sup>(1)</sup> These Acquisition-Related Expenses are not deductible for tax.

# 2017 Outlook

Moody's outlook for 2017 is based on assumptions about many geopolitical conditions and macroeconomic and capital market factors, including interest rates, foreign currency exchange rates, corporate profitability and business investment spending, mergers and acquisitions, consumer borrowing and securitization, and the amount of debt issued. These assumptions are subject to uncertainty, and results for the year could differ materially from our current outlook. Our guidance assumes foreign currency translation at end-of-quarter exchange rates. Specifically, our forecast reflects exchange rates for the British pound (£) of \$1.30 to £1 and for the euro (€) of \$1.14 to €1. This guidance does not include revenue and operating expense estimates related to the pending acquisition of Bureau van Dijk.

| Full-year 2017 Moody's Corporation guidance                                                                                                                                                    |                                                                                                                           |                                                |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------|------------------------------------------------|
| MOODY'S CORPORATION                                                                                                                                                                            | Current guidance                                                                                                          | Last publicly disclosed guidance               |
| Revenue                                                                                                                                                                                        | increase in the high-single-digit percent range                                                                           | increase in the mid-single-digit percent range |
| Operating expense                                                                                                                                                                              | decrease in the 25% to 30% range                                                                                          | NC                                             |
| Adjusted operating expense <sup>(1)</sup>                                                                                                                                                      | increase in the mid-single-digit % range                                                                                  | NC                                             |
| Depreciation & amortization                                                                                                                                                                    | approximately \$135 million                                                                                               | NC                                             |
| Operating margin                                                                                                                                                                               | approximately 43%                                                                                                         | NC                                             |
| Adjusted operating margin <sup>(1)</sup>                                                                                                                                                       | approximately 47%                                                                                                         | Approximately 46%                              |
| Effective tax rate                                                                                                                                                                             | approximately 30%                                                                                                         | NC                                             |
| Diluted EPS                                                                                                                                                                                    | \$5.69 - \$5.84                                                                                                           | \$5.46 - \$5.61                                |
| Adjusted diluted EPS <sup>(1)</sup>                                                                                                                                                            | \$5.35 - \$5.50                                                                                                           | \$5.15 - \$5.30                                |
| Capital expenditures                                                                                                                                                                           | approximately \$100 million                                                                                               | NC                                             |
| Operating cash flow <sup>(2)</sup>                                                                                                                                                             | approximately \$600 million                                                                                               | NC                                             |
| Free cash flow <sup>(1,2)</sup>                                                                                                                                                                | approximately \$500 million                                                                                               | NC                                             |
| Share repurchases                                                                                                                                                                              | approximately \$200 million (subject to available cash, market conditions and other ongoing capital allocation decisions) | NC                                             |
| Note: All last publicly disclosed guidance is as of May 5, 2017 with the exception of share repurchase which was as of May 15, 2017.                                                           |                                                                                                                           |                                                |
| <sup>(1)</sup> These metrics are adjusted measures. See below for reconciliation of these measures to their comparable GAAP measure.                                                           |                                                                                                                           |                                                |
| <sup>(2)</sup> Includes payment of the settlement charge related to an agreement with the U.S. Department of Justice and the attorneys general of 21 U.S. states and the District of Columbia. |                                                                                                                           |                                                |



# 2017 Outlook (continued)

The following are reconciliations of the Company's adjusted forward looking measures to their comparable GAAP measure:

|                                     | Projected for the Year Ended<br>December 31, 2017                                                                                                    |
|-------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------|
| Operating expense guidance          | Decrease in the 25% to 30% range<br><i>Impact of 2016 settlement and restructuring charges</i><br><i>Impact of 2017 Acquisition-Related Expenses</i> |
| Adjusted operating expense guidance | <b>Increase in the mid-single-digit percent range</b>                                                                                                |

|                                    | Projected for the Year Ending<br>December 31, 2017 |
|------------------------------------|----------------------------------------------------|
| Operating margin guidance          | Approximately 43%                                  |
| Depreciation and amortization      | Approximately 3%                                   |
| Acquisition-Related Expenses       | Approximately 1%                                   |
| Adjusted operating margin guidance | <b>Approximately 47%</b>                           |

# 2017 Outlook (continued)

The following are reconciliations of the Company's adjusted forward looking measures to their comparable GAAP measure:

|                                                                             |                                                    |             |
|-----------------------------------------------------------------------------|----------------------------------------------------|-------------|
|                                                                             | Projected for the Year Ending<br>December 31, 2017 |             |
| Net cash flows from operating activities guidance                           | Approximately \$600 million                        |             |
| Capital expenditures guidance                                               | Approximately \$100 million                        |             |
| Free cash flow guidance                                                     | Approximately \$500 million                        |             |
|                                                                             |                                                    |             |
|                                                                             | Projected for the Year Ending<br>December 31, 2017 |             |
| Diluted EPS attributable to Moody's common shareholders - GAAP Guidance     | \$                                                 | 5.69 - 5.84 |
| CCXI Gain                                                                   |                                                    | (0.31)      |
| Pre-Tax Acquisition-Related Expenses                                        | \$                                                 | 0.11        |
| Tax on Acquisition-Related Expenses <sup>(1)</sup>                          |                                                    | (0.01)      |
| Net Acquisition-Related Expenses                                            |                                                    | 0.10        |
| Pre-Tax Purchase Price Hedge Gain                                           |                                                    | (0.21)      |
| Tax on Purchase Price Hedge Gain                                            |                                                    | 0.08        |
| Net Purchase Price Hedge Gain                                               |                                                    | (0.13)      |
| Adjusted diluted EPS attributable to Moody's common shareholders - Guidance | \$                                                 | 5.35 - 5.50 |

<sup>(1)</sup> Certain Acquisition-Related Expenses are not deductible for tax.

# MOODY'S

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